

# KIIT SAP PROJECT REPORT

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## Source-to-Pay (S2P): Complete Procurement Cycle

*End-to-End SAP S2P Process with Vendor Evaluation and Procurement Workflow Simulation*

|                      |                                                                                        |
|----------------------|----------------------------------------------------------------------------------------|
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| <b>Program</b>       | B.Tech CSE (6th Semester)                                                              |
| <b>Course</b>        | SAP S2P Consultant (Course Code: IS30054)                                              |
| <b>Project Title</b> | Simulation of Source-to-Pay (S2P) Process using Structured Workflow and Data Modeling. |
| <b>Institution</b>   | KIIT University                                                                        |
| <b>Deadline</b>      | <b>April 21, 2026</b>                                                                  |

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### 1. Project Title

Simulation of Source-to-Pay (S2P) Process using Structured Workflow and Data Modeling.

### 2. Problem Statement

Procurement is an important aspect in the functioning of business in modern organizations. Nevertheless, unorganized workflow, ineffective vendor evaluation processes, and manual operations are some of the issues that many companies struggle to cope with in terms of effective procurement management.

Ineffective procurement may result in high operational expenses, late delivery and ineffective performance of suppliers. Also, the choice of the appropriate vendor without appropriate comparison and evaluation may have adverse effects on the entire supply chain.

Thus, it is necessary to have a systematic and organized method to handle the whole Source-to-Pay (S2P) process, including requirements identification and payment to the vendors.

### 3. Solution / Features

This project is a structured simulation of the Source-to-Pay (S2P) process with data modeling and workflow representation. The solution shows how organizations can simplify procurement processes by adhering to a clear process.

The system will be modeled to replicate real-life procurement situations, such as management of vendors, comparison of quotations, purchase order and payment tracking.

### **Key Features:**

- Multi-supplier vendor data management.
- Comparison system Request for Quotation (RFQ).
- Vendor selection based on various factors including price, delivery time, and rating.
- Creation and tracking of purchase orders.
- Tracking and monitoring of payment statuses.
- Structured workflow for end-to-end S2P process.

## **4. Vendor Selection and Purchase Order Creation**

In this project, the vendors were considered on various parameters such as price, delivery time and rating. An organized RFQ analysis was conducted to determine the best vendor. Structured evaluation criteria were applied to compare them to make an objective decision.

|    | A                              | B     | C        | D                          | E | F |
|----|--------------------------------|-------|----------|----------------------------|---|---|
| 1  | Vendor                         | Price | Delivery | Score (Vendor Evaluation ) |   |   |
| 2  | ABC Suppliers                  | 100   | 5        | 85                         |   |   |
| 3  | XYZ Traders                    | 95    | 10       | 75                         |   |   |
| 4  |                                |       |          |                            |   |   |
| 5  | Selected Vendor: ABC Suppliers |       |          |                            |   |   |
| 6  |                                |       |          |                            |   |   |
| 7  |                                |       |          |                            |   |   |
| 8  |                                |       |          |                            |   |   |
| 9  |                                |       |          |                            |   |   |
| 10 |                                |       |          |                            |   |   |
| 11 |                                |       |          |                            |   |   |
| 12 |                                |       |          |                            |   |   |
| 13 |                                |       |          |                            |   |   |
| 14 |                                |       |          |                            |   |   |
| 15 |                                |       |          |                            |   |   |
| 16 |                                |       |          |                            |   |   |
| 17 |                                |       |          |                            |   |   |
| 18 |                                |       |          |                            |   |   |
| 19 |                                |       |          |                            |   |   |
| 20 |                                |       |          |                            |   |   |
| 21 |                                |       |          |                            |   |   |

◀ ▶
Vendors
Materials
RFQ\_Comparison
Purchase\_Order
Payments
⊕

Ready Accessibility: Good to go

**Figure 1:** Vendor Comparison (RFQ Analysis)

**Reason:** XYZ Traders had a lower price, but ABC Suppliers was chosen because of a higher level of performance in delivery and a higher reliability rating.

It proves that the choice of vendors is not only determined by price but also by the overall performance considerations. Once the vendor was chosen, a Purchase Order (PO) was generated to start the procurement process. The PO contains the following information: vendor name, material, quantity and total cost.

|    | A     | B             | C         | D        | E          | F       |
|----|-------|---------------|-----------|----------|------------|---------|
| 1  | PO ID | Vendor        | Material  | Quantity | Total Cost | Status  |
| 2  | PO001 | ABC Suppliers | Microchip | 100      | 10000      | Created |
| 3  |       |               |           |          |            |         |
| 4  |       |               |           |          |            |         |
| 5  |       |               |           |          |            |         |
| 6  |       |               |           |          |            |         |
| 7  |       |               |           |          |            |         |
| 8  |       |               |           |          |            |         |
| 9  |       |               |           |          |            |         |
| 10 |       |               |           |          |            |         |
| 11 |       |               |           |          |            |         |
| 12 |       |               |           |          |            |         |
| 13 |       |               |           |          |            |         |
| 14 |       |               |           |          |            |         |
| 15 |       |               |           |          |            |         |
| 16 |       |               |           |          |            |         |
| 17 |       |               |           |          |            |         |
| 18 |       |               |           |          |            |         |
| 19 |       |               |           |          |            |         |
| 20 |       |               |           |          |            |         |
| 21 |       |               |           |          |            |         |

Vendors Materials RFQ\_Comparison **Purchase Order** Payments +

Ready Accessibility: Good to go

**Figure 2:** Purchase Order Creation

This is a necessary step in order to make procurement efficient and is an essential part of the whole Source-to-Pay (S2P) cycle.

## 5. Goods Receipt and Payment Process

Once the Purchase Order was made, the other part of the Source-to-Pay cycle was the receipt of goods by the chosen vendor. This is done to make sure that the ordered materials are delivered and registered in the system.

After the goods were delivered, the payment was started. The transaction was done according to the purchase order and vendor details. This is the final stage in the procurement process and guarantees that the vendor is paid the money due to the goods delivered.

|    | A     | B             | C         | D        | E          | F        | G |
|----|-------|---------------|-----------|----------|------------|----------|---|
| 1  | PO ID | Vendor        | Material  | Quantity | Total Cost | Status   |   |
| 2  | PO001 | ABC Suppliers | Microchip | 100      | 10000      | Received |   |
| 3  |       |               |           |          |            |          |   |
| 4  |       |               |           |          |            |          |   |
| 5  |       |               |           |          |            |          |   |
| 6  |       |               |           |          |            |          |   |
| 7  |       |               |           |          |            |          |   |
| 8  |       |               |           |          |            |          |   |
| 9  |       |               |           |          |            |          |   |
| 10 |       |               |           |          |            |          |   |
| 11 |       |               |           |          |            |          |   |
| 12 |       |               |           |          |            |          |   |
| 13 |       |               |           |          |            |          |   |
| 14 |       |               |           |          |            |          |   |
| 15 |       |               |           |          |            |          |   |
| 16 |       |               |           |          |            |          |   |
| 17 |       |               |           |          |            |          |   |
| 18 |       |               |           |          |            |          |   |
| 19 |       |               |           |          |            |          |   |
| 20 |       |               |           |          |            |          |   |
| 21 |       |               |           |          |            |          |   |

Vendors Materials RFQ\_Comparison **Purchase Order** Payments +

**Figure 3:** Purchase Order Status is now 'Received'

|    | A          | B             | C      | D         | E | F |
|----|------------|---------------|--------|-----------|---|---|
| 1  | Payment ID | Vendor        | Amount | Status    |   |   |
| 2  | PAY001     | ABC Suppliers | 10000  | Completed |   |   |
| 3  |            |               |        |           |   |   |
| 4  |            |               |        |           |   |   |
| 5  |            |               |        |           |   |   |
| 6  |            |               |        |           |   |   |
| 7  |            |               |        |           |   |   |
| 8  |            |               |        |           |   |   |
| 9  |            |               |        |           |   |   |
| 10 |            |               |        |           |   |   |
| 11 |            |               |        |           |   |   |
| 12 |            |               |        |           |   |   |
| 13 |            |               |        |           |   |   |
| 14 |            |               |        |           |   |   |
| 15 |            |               |        |           |   |   |
| 16 |            |               |        |           |   |   |
| 17 |            |               |        |           |   |   |
| 18 |            |               |        |           |   |   |
| 19 |            |               |        |           |   |   |
| 20 |            |               |        |           |   |   |
| 21 |            |               |        |           |   |   |

**Figure 4:** Payment status now shows 'Completion'

## 6. Technology Stack

The project is applied with the help of easy and available tools to model processes on the enterprise level:

- Microsoft Excel: It is applied in the creation of structured datasets, comparison of vendors, and tracking transactions.
- Microsoft Word: This is to be used in writing the project documentation.
- SAP S/4HANA Concepts: This is the conceptual basis of the design of the Source-to-Pay workflow.

## 7. Unique Points

The uniqueness of this project is its systematic and analytical treatment of procurement simulation. In contrast to simple theoretical models, this project includes logic of making decisions and representation of workflow

- Makes an assessment of the vendors in relation to various parameters.
- Shows practical procurement decision-making.
- Formatted similar to an enterprise system with data sheets that are modular.
- Mimics workflow of SAP - like without access to the system.
- Concentrates on process knowledge and practice.

## 8. Future Improvements

Although the present project offers a conceptual and organized simulation of the S2P process, a number of improvements can be made to make it more robust and more realistic to real-world enterprise systems.

- Hook-up with real SAP S/4HANA system.
- Weighted scoring algorithm to automate the selection of vendors.
- Creation of a web-based or application-based interface.
- Integration with analytic tools to gain procurement insights.
- Procurement activities and supplier performance in real-time.

## 9. Conclusion

This project effectively illustrates the entire Source-to-Pay (S2P) process in a systematic and orderly manner. The simulation encompasses major steps such as selection of the vendor, creation of purchase order, receipt of goods and processing of payment.

The project emphasizes the role of effective procurement management and demonstrates how well-organized workflows can enhance decision-making and efficiency.

## 10. References

- SAP S/4HANA Procurement Process Documentation.
- Tutorials and material on Source-to-Pay (S2P) process.
- Microsoft Excel documentation for data modeling.
- Training materials and class notes provided in SAP course.

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